

to believe that they would eventually triumph. After all, the market could not ignore fundamentals forever, they argued.

In the past, many promoters had tried to inflate their stock prices. More often than not, these attempts had culminated in a wrecked stock price and regulatory action. In 1992, the bears had made a killing when the securities scam finally surfaced, when only a couple of days before it seemed certain that many of them would be driven to bankruptcy. In 1998, the bears had again dealt Big Bull Harshad a crushing defeat in the BPL, Sterlite and Videocon stocks.

They thought the same approach would work with technology stocks too. There was nothing wrong in the basic principle of going after overvalued stocks. Except that this time the frenzy was too widespread for any chance of success for the bears.

One evening, I happened to be in Rakesh Jhunjhunwala's office along with a few of his associates. He was not in the best of moods as most of his bearish calls on technology stocks had gone wrong. The topic of discussion was, naturally, the tech boom.

'I tell you, this tech boom simply cannot sustain,' Rakesh said, looking at the prices on the screen. 'As share prices start climbing, IT companies will issue stock to raise money. The more their floating stock, the slower prices will rise. That is because there will more people selling every time the price rises. IT shares have been rallying so far partly because of a self-fulfilling prophecy. People buy, share prices rise, and more people buy, thinking the price will climb further. But once share prices stall, people will stop buying. Then the vicious cycle will begin. People will start selling, prices will fall, and there will be more selling. The stocks will then simply collapse as everybody rushes for the exit door together,' he said.

'This logic is indisputable, Rakesh. The stock prices will collapse at some point. But the question is, when?' asked KD, one of his close friends. That was true. Nobody could predict how long the stock prices would climb before running out of steam. Few could have said that to Rakesh's face and got away with it. I was half expecting Rakesh to get into an argument with KD to prove his point. But Rakesh said nothing. KD was among the few whose views he respected.

Promoters dabbling in their stocks was nothing new. Usually they were discreet about it. This time around, stock-rigging by operators with help